ADF Foods Ltd CONCALL TRACKER

Makes ready-to-eat Indian food (frozen curries and breads, meals, pickles, sauces) in India and sells it abroad under its own brands: Ashoka for the Indian diaspora, Truly Indian for mainstream American shoppers, and Soul for India.

Screener ticker: ADFFOODS · Quarter folder: Q1-2027 · Builds on the Q4-2026 report · New call deep-read: Q1 FY27 (30 Jul 2026) · Group (consolidated) figures as quoted on the call; "cr" = crore = 10 million rupees.

1. Snapshot

Number	Value	Plain-English read
Q1 FY27 group sales (Apr-Jun 2026)	₹167 cr	Up about 26% on the same quarter last year, the fourth straight quarter of double-digit growth. Q1 is normally its weakest quarter.
Q1 FY27 EBITDA / margin	₹29.7 cr / 17.7%	EBITDA = operating profit before interest, tax and depreciation. Up 26%, but it includes about ₹7 cr of one-time US tariff refund. Without it the margin was a little under 14%, hit by about 3 points of extra shipping cost.
Q1 FY27 net profit	₹17.3 cr	Take-home profit, up only about 13%, slower than sales because of the freight squeeze and higher depreciation from the new plant.
FY26 group sales / profit	₹683 cr / ~₹97 cr	Last full year: sales up about 16%, profit up about 40%.
Market value / P/E	₹2,646 cr / ~28	Investors pay about ₹28 for each ₹1 of yearly profit: a moderate price for a growing, debt-free food brand.
Return on capital (ROCE)	24.6%	Earns about ₹25 a year on every ₹100 invested in the business: healthy.

2. Concall coverage

Period	Date	Transcript read?
Q1 FY24 → Q3 FY26 (11 calls)	Aug 2023 → Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior boundary)	14 May 2026	Covered by the Q4-2026 report
Q1 FY27	**30 Jul 2026**	**Newly deep-read in full ★**

Only the Q1 FY27 call was read in full this quarter; the three-year backstory comes from the prior report. Calls after 30 Sep 2026 are out of scope.

★ Latest concall highlights: Q1 FY27 (30 Jul 2026)

- **Growth held up despite the shipping mess.** Group sales +26%; Ashoka grew more than 30% in the quarter. Management says about 30% of the goods ready in June could not be shipped for lack of vessels and containers, so some sales slip into later quarters.
- **Record order book.** Orders for June, July and August are the strongest in the company's history. Plain read: demand is not the problem; getting containers onto ships is.
- **FY27 target restated as "upwards of ₹900 cr"** with high-teens margins. That sits inside the ₹925-1,000 cr band given in May; the ₹800-850 cr downside case was not repeated, because Gulf shipments (about 15% of sales) have largely recovered since late April.
- **Margins were propped up by one-offs.** A US tariff refund of about ₹20 cr arrived (about ₹7 cr booked this quarter). Freight cost about 3 points of margin; from July the company is passing most of that on to customers (about three-quarters in the US).
- **Surat plant shipping.** About 15 containers went out in Q1. FY27 target of ₹40-50 cr from Surat reaffirmed, but full use is now put at 2-3 years, with FY30 as the realistic year for full use of all plants.

Business mix & capacity: quick facts

- **Exports vs India:** almost entirely exports. The India brand Soul is tiny, so sales are roughly 99% overseas (inferred; management does not give a clean split). The Gulf is about 15% of sales. By type, about 75% is own brands and 25% private-label/B2B.
- **Capacity:** Surat is expected to run at about 30% this year. Once Surat's later phases are in, the plants (old and new) can support about ₹1,250 cr of manufactured sales (excluding the tea-distribution business), so there is plenty of room to grow without big new spending.

★ Since our last report

Builds on the Q4-2026 report (boundary: Q4 FY26 call, 14 May 2026). Prior verdicts: **Trigger YES** · **Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Earning trigger	Multi-brand export engine is real; Truly Indian ahead of plan	+26% in a weak quarter; Ashoka +30%; Truly Indian growing from both existing and new stores; record order book	Confirmed
Consistency	Steady story, but flagship ₹1,000 cr target being walked back	Target now "₹900 cr plus"; honest about freight and one-off refund	On-track (no further walk-back)
Gulf war risk (~15% of sales)	Gulf ~80-85% cut off in Mar-Apr	Shipments restarted end-April and back near normal share	Improving
Surat plant ramp	Started Mar 2026, ₹40-50 cr in FY27	Commercial shipments started; FY27 number reaffirmed	On-track
Soul (India brand)	Multi-year miss, target cut	Management admits it is "a little slow"; strategy changed again	Slipping
New: PLI incentive ends	Not flagged	Government brand incentive of ~₹16 cr a year (about 2 points of margin) ends after FY27 unless extended	New risk

Verdict change this quarter: both verdicts unchanged. Demand and the Gulf recovery strengthen the growth story, but margins this quarter leaned on a one-time refund, freight is still costly, and the incentive that has helped margins runs out after this year.

3. Earning-trigger thesis

What management says will grow profits

Keep growing the diaspora brand Ashoka, crack the much larger mainstream US market with Truly Indian (management says it can in time be bigger than Ashoka), tilt the mix toward higher-margin frozen food, and use the new Surat plant to lift the ceiling on output. A new subsidiary in Ireland and trade deals with the UK and EU are meant to open Europe next. All of that is aimed at sales "upwards of ₹900 cr" in FY27 at high-teens margins. The engine is working; the near-term question is margins, not demand.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
Ashoka (diaspora brand)	20%+ growth via more shelf space and new markets	Grew 30%+ in Q1 FY27; 25%+ yearly for five years	Ongoing	**Strong**	↑ improving
Truly Indian (US mainstream)	Can become bigger than Ashoka; 3,000+ US stores	Repeat orders; growth roughly 60% from existing stores, 40% from new listings	3-5 years	**Strong (still small)**	unchanged
Surat plant + capacity	₹40-50 cr in FY27; just under ₹300 cr at full use	Shipping started; ~30% use this year	FY27 → FY30	**Moderate: just started**	unchanged
			FY28+	**Unproven**	new

Europe push (Ireland subsidiary, trade deals)	High double-digit growth in UK/Europe	Subsidiary being set up; no numbers yet			
Margin (high teens)	High teens excluding refunds, helped by passing on freight	Underlying Q1 a little under 14%; incentive of ~2 points ends after FY27	Rest of FY27	**Weak near term**	↓ weakening

4. Management consistency scorecard

Period / theme	What was promised	What actually happened	Verdict
FY24-FY26 revenue	Roughly double every three years; ₹1,000 cr by FY27	₹520 cr → ₹683 cr; FY27 target eased to "₹900 cr plus"	Partly
Margins	High-teens EBITDA	FY26 19.1%; Q1 FY27 17.7% reported but under 14% without the refund	Partly
Truly Indian	Scale in mainstream US	3,000+ stores, repeat orders, still growing	Delivered
Surat plant	Live by Sept 2025; ₹40-50 cr in FY27	Started Mar 2026 (late); shipments now flowing; FY27 number kept	Partly / On-track
Soul (India)	₹100 cr in 3-4 years	Still small; strategy reset again	Missed
Q1 FY27 call	FY27 sales over ₹900 cr; high-teens margin for the year; freight passed on	To be judged	Too-early

Narrative drift: the core story is unchanged and told honestly: management openly split out the tariff refund, admitted freight ate into margins and conceded Soul is slow. The drift is in the numbers it attaches to the story: the ₹1,000 cr headline has quietly become "₹900 cr plus", and the Surat full-ramp date keeps edging out. Tone: "cautiously optimistic", noticeably more confident on demand than on logistics.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

The Gulf recovery and a record order book removed the biggest worry from last time. The brands are still growing quickly, a new plant is shipping, and the capacity can support far larger sales without big new investment. What stops this being an easy YES is the margin outlook: this quarter's margin needed a one-time refund, freight remains high, and a government incentive worth about 2 points of margin ends after FY27. Growth looks durable; profit growth may lag sales growth for a while.

Management consistent? → MAYBE vs last quarter: unchanged

Nothing moved this up or down. Management is candid and keeps hitting the things it controls (brand growth, store listings, getting Surat running), but its headline targets keep softening (₹1,000 cr has become "₹900 cr plus"), Soul keeps missing, and the margin promise now depends on passing freight costs to customers and on a refund that will not repeat. A leaning-positive MAYBE.

Sources: Screener.in financials and transcripts (ADFFOODS); Q1 FY27 earnings call transcript, 30 Jul 2026; Q4-2026 concall-tracker report for prior history. This is not investment advice. Do your own due diligence.